

index fund concept—and (more often than not) their low costs. And how could I not admire the use of broad market index ETFs that are held for the long term, and even broad market segment ETFs that are used in limited amounts to accomplish specific goals? But I have serious questions about the rampant trading of most ETFs, and the negative impact of those layers of brokerage commissions.

Further, I wonder why only 21 among today's 817 ETFs meet the classic requirement of the broadest possible diversification in U.S. or global stocks, with 739 of the remaining ETFs investing in equity market sectors that range from the reasonable to the absurd. (The remaining 57 are ETFs based on various bond indexes.) In this latter category I'd include sectors as narrow as "Emerging Cancer" and leveraged funds that promise to double the market's returns in either up or down markets. Not to be outdone, a few ETFs now offer the opportunity to triple those swings. Could quadruple be next?

Put another way, ETFs used for investment are perfectly sound, but using them for speculation is apt to end badly for investors. Back in 2005, in his 91st year, the Nobel laureate economist Paul Samuelson called the first index mutual fund the equivalent of the invention of the wheel and the alphabet. (Perhaps he was prejudiced: His holdings in that fund, the Vanguard 500 Index Fund, helped pay for the educations of Dr. Samuelson's six children and his 15 grandchildren.) He has never said anything comparable about ETFs, nor, I suspect, will anyone of equal stature do so.

Fundamental Indexing

While this so-called index method of value investing has been presented as some sort of Copernican revolution, the idea behind the methodology is many decades old. But offering such funds in ETF form suggests that they are useful for short-term trading—a dubious proposition on the face of it. And bringing them out only *after* the sharp upsurge in value-fund relative returns during the 2000-2002 stock market collapse suggests the marketing motivation that sponsors are so good at, even though it almost invariably leads to performance chasing that ill serves investors.